

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

YSN IMPORTS INC. D/B/A/ FLAME KING, *Complainant*

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC.,
U SHIPPERS GROUP MANAGEMENT CO., INC., *Respondents.*

DOCKET NO. 21-02

Served: December 15, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING MOTION TO COMPEL

I. Overview

On December 2, 2021, Respondents Feige “Peggy” Oberlander, U Shippers Group Inc. (“Association”), and U Shippers Group Management Co., Inc. (“Management”) filed a motion to compel documents from Complainant YSN Imports Inc. d/b/a/ Flame King (“YSN”), specifically service contracts, and communications related to service contracts, for an alternative shipping contract that Complainant asserts forms the basis of its damages claim. Motion at 1.

On December 8, 2021, Complainant filed an opposition to the motion to compel document requests, asserting that the motion to compel should be denied as it seeks service contracts from a non-party, the Freight Alliance Shippers’ Association (“FASA”) and because “Complainant is not in any event relying on the rate information from the FASA service contract to establish its quantum of reparation damages” but rather upon rates charged by carriers to Complainant for relevant shipments. Opposition at 1-2.

On December 9, 2021, Respondents filed a reply in support of its motion to compel and a motion for leave to file the reply, stating that they were seeking to address certain misleading and inaccurate representations made in the opposition. Reply at 1. The reply attached an exhibit for which confidential treatment is sought.

On December 13, 2021, Complainant filed an objection to Respondents’ motion for leave to file their reply, asserting that a reply to a response is allowed by Commission rules only upon showing of extraordinary circumstances. Objection to Reply at 1.

II. Standard of Review

The Commission’s Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense.” 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j).

"In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 45 "governs discovery of non-parties by subpoena." *In re Apple iPhone Antitrust Litig.*, 2020 U.S. Dist. LEXIS 188670, *11 (N.D.Cal. 2020). A court, on motion, may quash or modify a subpoena if it requires "disclosing a trade secret or other confidential research, development, or commercial information" or may order production under specified conditions if the serving party "shows a substantial need for the testimony or material that cannot be otherwise met without undue hardship" and "ensures that the subpoenaed person will be reasonably compensated." F.R.C.P. 45(d)(3).

III. Discussion

Respondents seek documents concerning any attempts by YSN to seek shipping space for the 605 shipments at issue with Maersk, and documents concerning any shipments made or contracted for by YSN with other ocean carriers for the time period at issue, as well as alternative arrangements entered into by YSN, and the net costs thereof, which Respondents argue are directly relevant to YSN's claim for reparations. Motion at 2.

YSN acknowledges that its employee, Sam Newman, a Director of FASA, negotiated the terms of the FASA service contract on behalf of FASA but argues that "Newman does not, as an employee of YSN, have a contractual right or any authorization to produce the FASA service contracts in response to discovery requests served on YSN." Opposition at 3-4. YSN argues that the "overriding factor supporting denial of this motion to compel is that Complainant is not relying on the FASA service contracts for proof of its damages, but instead is relying on rates charged to YSN reflected in invoices directly from the Carrier." Opposition at 5.

In its reply, Respondents argue that because YSN's "claim for damages would have to be predicated upon the difference in the rates it paid under competing service contracts versus the Association Service Contract, the only inference that can be drawn" is that "YSN did not ship any of the 605 shipments under the FAFSA Service Contract," which they argue is contrary to the evidence. Reply at 1-2.

If YSN establishes a violation of the Shipping Act, YSN will have the burden to establish its claim for reparations. YSN may have multiple ways to establish its damages. YSN could choose to establish its damages by introducing the FASA service contract. However, YSN may also establish its damages by introducing evidence of the amount it actually paid for each of the 605 shipments at issue, for example through bills of lading or other shipping documents. Thus, contrary to Respondents' inference, YSN did not appear to allege that it did not utilize the FASA service contract but rather that it would establish what it paid for the shipments by relying on shipping documents not on the service contract itself.

If YSN does not provide a copy of the FASA service contract, then it cannot rely on that service contract in this proceeding. However, if it chooses not to rely on the service contract itself, it may provide other documents to establish its claim for reparations. If the service contract is not being used to establish a fact at issue in the proceeding, then it is not relevant. Therefore, disclosure of the non-party FASA service contract will not be compelled and YSN will not be able to rely on the FASA service contract unless it is produced.

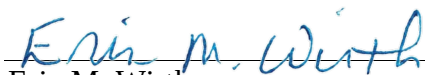
The motion seeking leave to submit the reply does not establish extraordinary circumstances as required by Commission Rule 71. 46 CFR § 502.71. However, it did highlight a misunderstanding between the parties and was considered. Accordingly, the motion for leave to file a reply is granted.

The reply included both a public and a confidential version. A formal motion requesting confidential treatment, as required by Commission Rule 5, was not filed. 46 CFR § 502.5(b). However, it is clear that confidentiality was requested for Exhibit A, which includes shipping rates. The implied request for confidential treatment will be granted for this one exhibit. Prior to filing any other motions containing confidential material, the parties should review Rule 5 and the initial order issued in this proceeding.

The parties are also reminded that all filings must have page numbers. If filings are submitted without page numbers, they may be rejected.

IV. Order

For the reasons outlined above, it is hereby **ORDERED** that Respondents' motion to compel be **DENIED**. It is further **ORDERED** that Respondents' motion for leave to file a reply be **GRANTED**. It is further **ORDERED** that Respondents' implicit motion for confidential treatment of Exhibit A of the reply be **GRANTED**.


Erin M. Wirth
Chief Administrative Law Judge